

The power structures of dollarizing elites in Latin America

Working paper

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Ecuadorian dollarization in a nutshell

Dollarization is the turning point of the history of Ecuador.

The debt burden of 70s

In this decade the Ecuadorian economy transformed from primarily agrarian to oil-exporting. The "petro-dollars" flows affected the expansion cycle of the economy. The debt-burden economy arose.

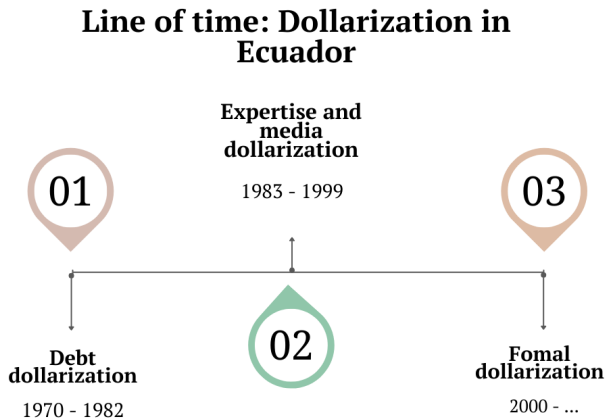
The neoliberalism of 80s

Following the austerity measures program, the "Sucre" -ecuadorian currency- suffered several devaluations.

The subordinate financialisation of 90s

Expansion of financial power. Social precarization of working class families. In 1999, the financial crash provoked the most severe social crisis of Ecuadorian history. Dollarization was sold as the unique policy alternative.

The three dollarizations cronology



Previous research

In "Three dollarizations: a history of financial subordination" (Forthcoming), we argue that de jure dollarization in Ecuador was preceded by two previous dollarizations: (1) a financial one, accompanied by the active participation of social democrats who introduced the need for a particular type of expertise and (2) this expertise, composed of elites trained in American universities and with private local banks ties fomented the need to "popularize" the use of the American dollar as a common currency.

The formal dollarization was only achieved after institutionalizing a defined type of expertise and after creating a public opinion framing in favor of the dollar.

Motivation

- The mobilization of knowledge vested as technical expertise was inserted into the Central Bank and Finance Ministry (bureaucratic structures of the State), normalizing the necessity of following models of austerity and international financial dependency prescribed by institutions such as the IMF and the World Bank.
- There is an intensification of the presence of neoliberals during the two previous definitory dollarizations, in particular, with the legalist and financial expertise (1983-1999).
- Those processes created the conditions for the emergence of subjective and objective structures in public policy circles that promoted the acceptance of the dollar as a silent imposition from local and transnational elites.
- It is one of the few cases in history where the American currency was formally introduced by the government and later legitimized by popular support.

Questions

- (1) What is the composition of elites' fragmentations or coalitions that fostered the US dollar adoption in the decade previous to the formal decision?
- (2) What are the trajectories and mutations of elites within the framework of a de jure dollarized economy?
- (3) What are the implications of dollarizing processes for the elites' constellations in the Global South?

Methods: Archival

- An original database of 62 elites in the period 1979 - 1999, including 16 economic groups during 2000 - 2019.
- Reconstruction of business relationships before dollarization using secondary sources (previous research on local elites during 70s, 80s, 90s).
- A full list of the companies after dollarization was obtained from the official reports from the Businesses controller (superintendencia de compañías).
- A compilation of the economic groups after dollarization was obtained from Ecuadorian IRS.
- Complete profiles of all the economic groups as "dollarization players" were constructed from technical and historical documentation, as well as media, and specialized social media sources (i.e.: business magazines and chambers memoirs).

Methods: In-depth interviews

- Some of the individuals from the database were invited to participate in interviews and, therefore, to allow the conduction of qualitative analysis about their roles, positions, knowledge and other related information of the historical context of the dollarization.
- The selection criteria of the actors include: a balance on region, genre, the activity of the group, etc.).
- From the in-depth interviews is expected to get information about the links between groups.

Methods: Geometrical Data Analysis - GDA

- A GDA was applied to identify economic groups' trajectory, relations architecture, and relative characteristics that played a role in the arrival of the new currency.
- GDA allowed us to break down the contribution of the variables to the dimensions considered (important).
- We considered three dimensions to generate the clusters or the different groups of power that influenced the dollarization legitimation.
- Each group contributes distinctively to the dollarization achievement in each stage or period of dollarization.

Descriptive: comparison elites' constellation

Dollarization order modified the constellation composition of national elites.

Dollarization	Before (1979 – 1999)	After (2000 –)
Groups	62	16
Super-groups	9 (14,5%)	3 (18,8%)
Family groups	52 (83,9%)	15 (93,8%)
Capital origin national	40 (64,5%)	12 (75,0%)
Offshore link	18 (29,0%)	10 (62,5%)
National presence	1 (1,6%)	3 (18,8%)
Business representation influence	26 (41,9%)	16 (100,0%)
Party representation influence	30 (48,4%)	8 (50,0%)

Table: Variables frequency (and percentages) of economic groups before and after dollarization - Part I

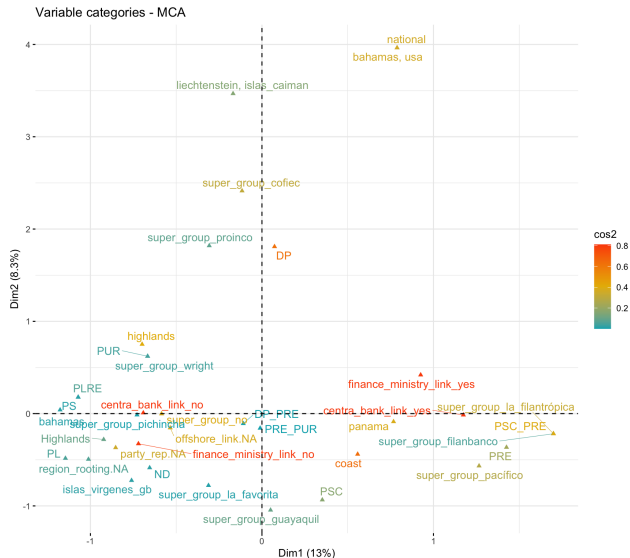
Descriptive: comparison elites' constellation

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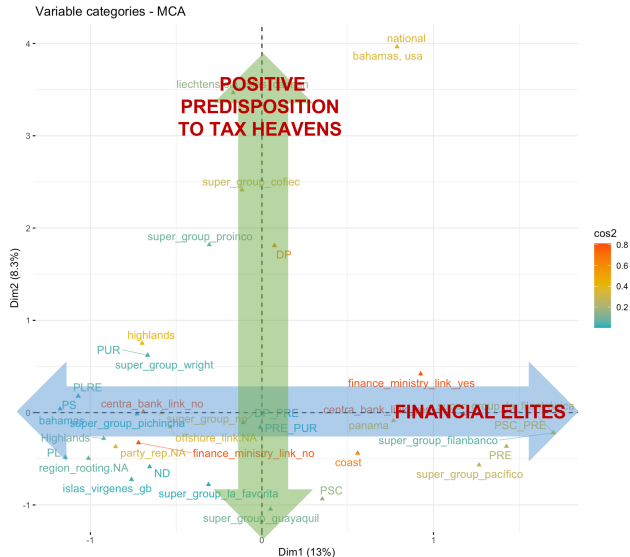
Dollarization	Before (1979 – 1999)	After (2000 –)
Political figure link	62 (48,4%)	16 (56,3%)
Central Bank link	9 (22,6%)	3 (31,3%)
Finance Ministry link	52 (30,6%)	15 (56,3%)
SIC Finance	40 (27,4%)	12 (31,3%)
Big companies	1 (53,2%)	3 (87,5%)

Table: Selected statistics of economic groups before and after dollarization - Part II

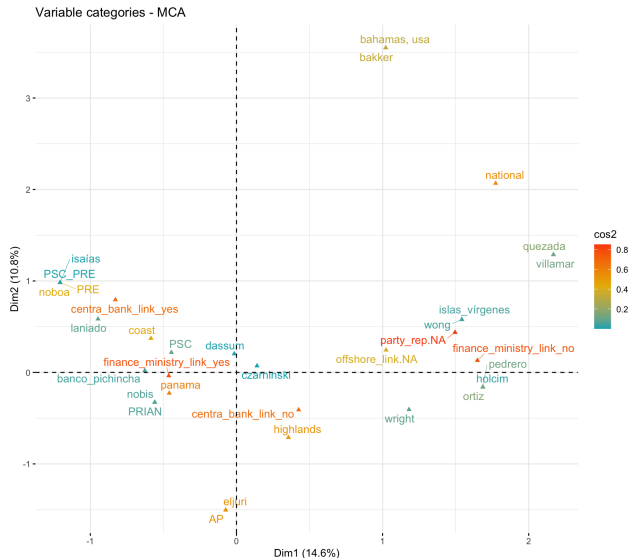
GDA of Elites Before Dollarization: 1979 - 1999



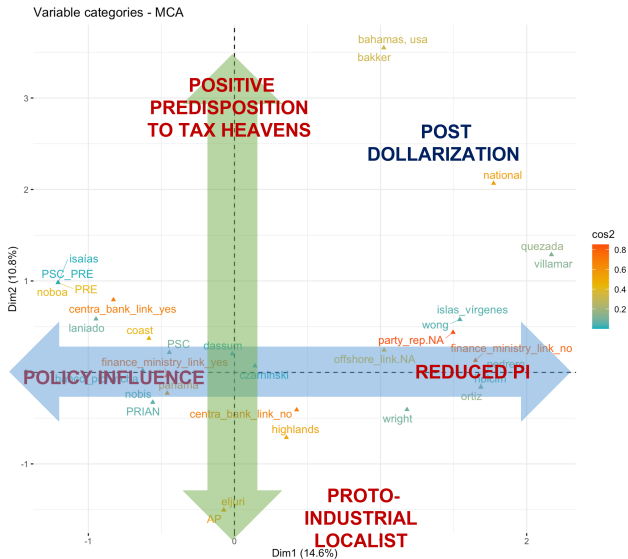
GDA of Elites Before Dollarization: 1979 - 1999



GDA of Elites After Dollarization: 2000 - 2009



GDA of Elites After Dollarization: 2000 - 2009



Thank you!